6-6c Benefits and Costs of FDI to Home Countries

As exporters of capital, technology, management, and (in some cases) jobs, home (source) countries often reap benefits and endure costs associated with FDI that are *opposite* to those experienced by host countries. In Cell 3 of Figure 6.8, three benefits to home countries are:

- Repatriated earnings from profits from FDI.
- Increased exports of components and services to host countries.
- Learning via FDI from operations abroad.

Shown in Cell 4 in Figure 6.8, costs of FDI to home countries primarily center on

(1) capital outflow and

(2) job loss.

First, since host countries enjoy capital inflow because of FDI, home countries naturally suffer from some capital outflow. Less-confident home country governments often impose capital controls to prevent or reduce FDI from flowing abroad. However, this concern is now less significant, as many governments realize the benefits eventually brought by FDI outflows.

The second concern is now more prominent: job loss. Many MNEs simultaneously invest abroad by adding employment overseas and curtail domestic production by laying off employees. It is not surprising that restrictions on FDI outflows have been increasingly vocal, called for by politicians, union members, journalists, and activists in many developed economies.

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Printed By: Mike Benton (mbento6@wgu.edu)
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